



What's the pain threshold: when will higher oil prices drive a bigger selloff?

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Yesterday saw Brent crude oil prices post their biggest daily increase (+9.6%) since the pandemic recovery six years ago, reviving fears about a stagflationary shock.

However, the wider cross-asset reaction has been muted so far: the S&P 500 is only just over 1% beneath its record high, whilst HY spreads in both the US and Europe are still tighter than their pre-conflict levels. Only rates markets have seen a more meaningful impact.

But considering what happened earlier this year, this shouldn't be too surprising. **Brent around its present level of \$80-90/bbl isn't a sufficient pain threshold for risk assets, and it took a move above \$110/bbl before we saw meaningful vulnerabilities for equities and credit.** Indeed, if we also think back to the 2022 energy shock, it was a similar real terms threshold for Brent (above \$110/bbl in today's prices) that induced those vulnerabilities and contributed to the equity bear market that year.

What does it take to generate a bigger selloff?

When the Iran conflict began earlier this year, we outlined a framework to think about what it takes to generate a meaningful selloff for risk assets. We pointed out 3 criteria to look for, to get a big risk-off move after an oil shock (e.g. S&P 500 down 15%). Generally, at least one of the following is required:

1. **Large and sustained oil price spike:** An oil price spike of at least +50-100% that is sustained over several months.
2. **Hawkish policy response:** The shock forces a sharp, hawkish pivot from central banks to fight the resulting inflation (e.g. 1979, 2022).
3. **Broader macro damage:** The shock is big enough to tip an already-slowing economy into recession or cause a meaningful economic slowdown (e.g. 1990 Gulf War).

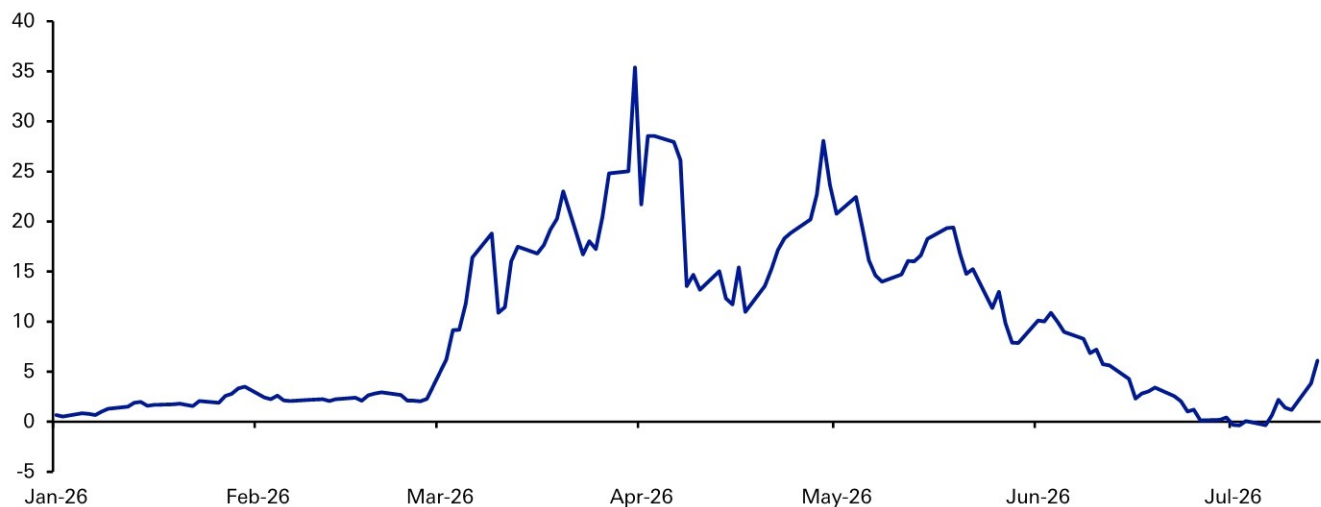
Yet on all 3 of these criteria, today's shock has not met these thresholds, and is still not doing so, even after the latest jump in oil prices.



1. Are we seeing a large and sustained oil price spike?

- Historically it's taken a large and sustained oil shock to generate a meaningful selloff. For instance, the 1973 oil shock saw prices almost quadruple, and they more than doubled in 1990 during the Gulf War. Even back in 2022, Brent spent around 6 months above \$100/bbl, and the 12-month future peaked above \$100/bbl as well, implying a sustained shock for over a year.
- Today by contrast, Brent crude prices at \$86/bbl are "only" up +18% from their pre-conflict level, and up +41% since the start of the year. From a market standpoint, this is clearly noticeable, but doesn't compare with history's bigger shocks.
- Moreover, if you compare with the 2022 shock, it's worth adjusting for cumulative inflation of over 10% since then. So even though oil prices in 2022 spent around 6 months above \$100/bbl, you'd need to see prices of at least \$110/bbl to generate an equivalent shock. In reality, we've only spent around 2 weeks above \$110/bbl in 2026, rather than 6 months. So again we're some way from thresholds that have caused bigger problems for risk assets.

Figure 1: Spread between the front-end Brent future and the 6-month Brent future (\$/bbl) - after normalising again in June, the oil curve has become backwardated again, implying that investors expect prices to fall back in the months ahead; this isn't being priced as a sustained shock.



Source : Bloomberg Finance LP, Deutsche Bank

2. Are we seeing a sharp hawkish response from central banks to deal with the resulting inflation?

- Another key driver of previous oil-related selloffs has been a hawkish policy response. For instance, 2022-23 saw the Fed hike by 525bps, and the ECB hike by 450bps. And back in 1979 after the second oil shock, Fed Chair Paul Volcker launched a huge monetary tightening to finally get control of inflation.
- Once again, if we compare today's shock to this, it is nowhere on the same scale, and inflation rates are much lower. For instance, market pricing for

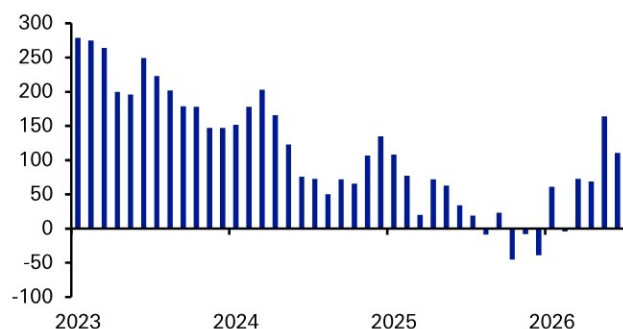


the Fed currently points to a peak tightening of 55bps by the April 2027 meeting. Moreover, a key reason for today's hawkishness is actually because of upside growth surprises, rather than simply upside inflation surprises.

3. Do we see meaningful economic damage in the data?

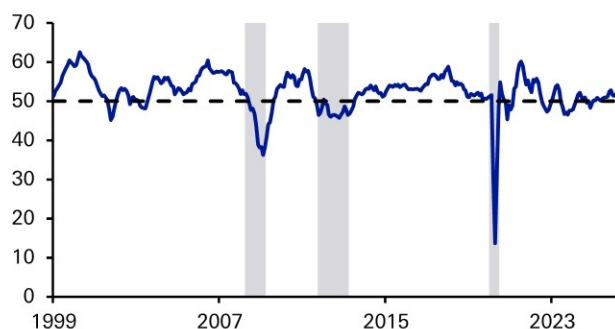
- The most severe oil shocks of the past often coincided with rapid data downturns – it didn't take months for the effects to show up. For example, the first oil shock of 1973 was followed by an immediate rise in the unemployment rate. Then when the Gulf War began in August 1990, US payrolls saw their biggest contraction (-208k) in 7 years.
- By contrast, a consistent theme of today's oil shock is we haven't seen this broader macro deterioration – if anything global data has generally surprised on the upside. US payrolls have been consistently positive, and the unemployment rate hit a 12-month low in June. Even in Europe, which is theoretically more exposed to the oil shock given its geography and its reliance on imported energy, the Eurozone composite PMI was still at 50.0 in June. That's exactly on the line between expansion and contraction, suggesting this energy shock hasn't caused some big recession.

Figure 2: The 3-month average of US nonfarm payrolls growth (thousands) has recovered strongly after last year, despite the energy shock



Source : Bloomberg Finance LP, Deutsche Bank

Figure 3: Even in Europe, the Eurozone composite PMI was at 50.0 in June, exactly between expansion and contraction, not pointing to a sharp decline



Source : Haver Analytics, Deutsche Bank

So where does oil need to get to cause a meaningful selloff?

The experience of both this year and the 2022 shock is that we'd need to see \$110/bbl on a sustained basis to generate a more negative market reaction.

First, \$110/bbl is high enough to be clearly felt by consumers and challenge inflation expectations. So at those levels, central banks aren't able to simply "look through" it as a temporary shock, particularly in a context when inflation has already been above target for several years.

Second, \$110/bbl was where we started to see meaningful financial stress earlier this year. Indeed, the low for the S&P 500 on March 30, as well as the peak for US and European HY spreads that day, came with oil prices above \$110/bbl. Once you get to that point, it also risks creating a self-fulfilling prophecy (as in 2022), whereby tighter financial conditions and equity declines induce a pullback in consumer spending and a dent to growth in and of itself. These negative wealth effects were



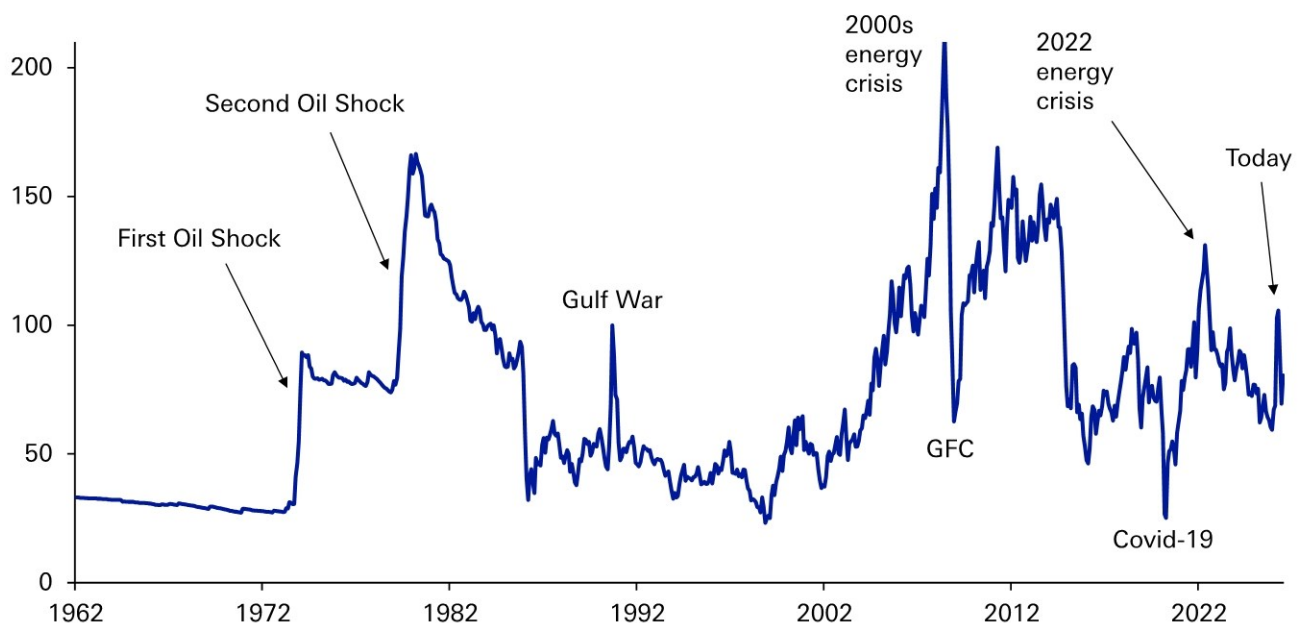
a key channel in the 2022 bear market.

Third, it's worth remembering that the shape of the oil curve is critical too. A temporary blip of \$110/bbl, as happened earlier this year, is not enough to drive a bear market. However, if the 2022 example repeated, where oil prices were expected to remain at those levels for months, then it means that markets price it as a permanent shock and central banks don't have the ability to look through it either. So that's when you see more hawkish expectations priced in that also drive a broader reaction.

If we think back to the height of the selloff in late-March, there were growing fears this negative feedback loop might happen. It was shortly before the two-week ceasefire was reached (and subsequently extended), and a key fear for markets at the time was the risk of broader damage to oil infrastructure. If that had happened, that risked creating a more prolonged energy shock, as it would have taken months to repair and restore supplies again. But once the two-week ceasefire was reached, and then extended, it meant markets started to look through the impact of the conflict.

At current levels for oil however, whilst the shock is meaningful, it is not enough to generate a wider selloff. Indeed, average Brent crude oil prices in 2024 were at \$80/bbl, and the increase today is far from historic in absolute terms. Moreover, thanks to reductions in energy intensity, oil shocks don't carry the equivalent impact that they once did, as we use less energy for each unit of economic output relative to the past.

Figure 4: WTI oil prices (\$/bbl) in real terms - today's shock simply hasn't compared to many of the bigger oil shocks of recent decades



Source : Bloomberg Finance LP, Deutsche Bank



Appendix 1

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